

Kaveri Infra Projects Limited

CX-2026-0003 · Cash Credit · Version 1 · 04 Oct 2026 · STRICTLY CONFIDENTIAL

1. Executive Summary

Approve with conditions

Kaveri Infra Projects Limited, operating in Infrastructure / EPC, has applied for a Cash Credit of ₹20.00 Cr. The proposal is recommended for approval subject to the conditions below. The internal score of 709 (CX4) implies a one-year probability of default of 2.38%. Principal concerns are Collateral coverage 0.80x; Receivable days 161 days; Sector risk 4. These are partly mitigated by Fraud risk score 4; Debt service coverage 1.37x; Promoter sentiment +0.18. We recommend an exposure of ₹12.80 Cr priced at 12.0% p.a., with sizing bound by the security cover.

Credit score 709 / 900	Internal grade CX4	Risk level MEDIUM	Probability of default (1y) 2.38%
Recommended amount ₹12.80 Cr	Suggested rate 12.0% p.a.	Fraud risk score 4 / 100	Approval likelihood 82%

2. Borrower Profile

Field	Detail
Legal name	Kaveri Infra Projects Limited
Constitution	Public Limited (Unlisted)
CIN	U45200KA2006PLC038812
PAN	AAECK3390R
GSTIN	29AAECK3390R1ZQ
Incorporated	2006
Sector	Infrastructure / EPC
Location	Bengaluru, Karnataka
Promoters / directors	Venkatesh Gowda (DIN 01455672), Prakash Rao (DIN 01455673)
External rating	BBB/Watch Developing (demo agency)

3. Proposed Facility

Field	Detail
Case reference	CX-2026-0003
Facility	Cash Credit
Amount requested	₹20,00,00,000
Tenure	12 months
Purpose	Working-capital enhancement for ₹420 crore state highway order
Security offered	Hypothecation of current assets; collateral of commercial property, Jayanagar
Security value	₹16.00 Cr

4. Financial Analysis

Metric	FY23	FY24	FY25
Revenue	₹108.00 Cr	₹121.00 Cr	₹138.00 Cr
EBITDA	₹13.40 Cr	₹15.10 Cr	₹17.90 Cr
EBITDA margin	12.4%	12.5%	13.0%
PAT	₹3.20 Cr	₹3.90 Cr	₹4.80 Cr
Revenue growth	—	12.0%	14.1%
Total debt	₹65.00 Cr	₹68.00 Cr	₹68.00 Cr
Net worth	₹49.00 Cr	₹53.00 Cr	₹58.00 Cr

Metric	FY23	FY24	FY25
Debt / EBITDA	4.85x	4.50x	3.80x
Debt / Equity	1.33x	1.28x	1.17x
DSCR	2.23x	1.11x	1.37x
Interest coverage	2.23x	2.29x	2.52x
Current ratio	1.21x	1.24x	1.26x
Receivable days	145	151	161

Figures extracted from uploaded statements; each value carries document/page provenance in CredX.

5. Banking Conduct & GST Compliance

Check	Result	Detail
GSTR-2A/2B vs GSTR-3B	PASS	3B ₹138.00 Cr vs 2A/2B ₹135.40 Cr — variance 1.9% (tolerance 5%).
GSTR-1 vs GSTR-3B	PASS	Outward supplies declared ₹137.10 Cr vs tax paid on ₹138.00 Cr (0.7%).
Bank credits vs GST turnover	PASS	Annualised bank credits ₹165.22 Cr are 101% of GST turnover incl. tax.
Book revenue vs GST turnover	PASS	Financial-statement revenue ₹138.00 Cr vs GST turnover ₹138.00 Cr (0.0%).
Return filing timeliness	WARN	Returns filed up to 5 days late.
GSTIN validity	PASS	1 GSTIN(s) pass checksum and state-code validation.

Statement	Account	Credits	Closing bal.	Bounces	Overdrawn days
bank_statement_Oct24-Mar25.pdf	XXXX9876	₹82.61 Cr	₹5.78 Cr	0	0

6. Promoter, Litigation & Market Intelligence

5 external items were reviewed for Kaveri Infra Projects Limited; overall promoter/company sentiment is positive. Adverse coverage: Delayed government payments stretch working capital at mid-size EPC contractors [3]. Supportive developments: Kaveri Infra Projects wins ₹420 crore state highway package [1]; Arbitral tribunal awards ₹62 crore to Kaveri Infra in claim against state authority [2]. Litigation exposure is low (score 9/100 across 3 matter(s)). Sector view (Infrastructure / EPC): outlook stable; key headwind — delayed government payments and stretched receivables.

Litigation risk: LOW · Promoter sentiment: POSITIVE · Sector outlook: STABLE · Overall external risk: LOW

- [LOW] Kaveri Infra Projects wins ₹420 crore state highway package — Infra Dispatch (demo) (demo data)
- [LOW] Arbitral tribunal awards ₹62 crore to Kaveri Infra in claim against state authority — Infra Dispatch (demo) (demo data)
- [MEDIUM] Delayed government payments stretch working capital at mid-size EPC contractors — Karnataka Finance Review (demo) (demo data)
- [LOW] Kaveri Infra rating placed on watch with developing implications — Rating Desk India (demo) (demo data)
- [LOW] Borrower-initiated: Commercial arbitration — pending (claim ₹62.00 Cr) — Uploaded document: legal_notice_1.pdf

7. Sector & Regulatory Conditions

Infrastructure / EPC — outlook STABLE, sector risk band 4/5 (knowledge base 2026.10).

Headwinds

- Delayed government payments and stretched receivables
- Arbitration-locked claims
- Commodity cost escalation on fixed-price contracts

Tailwinds

- Record central capex allocation
- National Infrastructure Pipeline and PM Gati Shakti
- Settlement schemes for stuck contractor claims

RBI / regulatory context

- RBI prudential framework for project finance (2025) — stage-wise provisioning for under-construction exposures
- DCCO extensions must follow RBI restructuring guidelines
- Bank guarantee exposure counts toward non-fund-based limits

8. Fraud & Forensic Observations

Fraud risk score 4/100 (LOW). Graph of 6 companies and 7 relationships analysed. No circular trading loops found. GST reconciliation within tolerance.

- No graph or GST forensic alerts.

9. Five Cs of Credit

C	Score	Assessment	Key evidence
Character	100	Strong	Fraud risk score: 4 (+19 pts); Promoter sentiment: +0.18 (+10 pts); Cheque/ECS bounces: 0 (+8 pts)
Capacity	64	Adequate	Debt service coverage: 1.37x (+10 pts); Interest coverage: 2.52x (+7 pts); Receivable days: 161 days (-6 pts)
Capital	51	Weak	Promoter pledge: 18.0% (+3 pts); Debt / equity: 1.17x (+2 pts); Debt / EBITDA: 3.80x (-1 pts)
Collateral	41	Weak	Offered security: Hypothecation of current assets; collateral of commercial property, Jayanagar; Collateral coverage: 0.80x (-7 pts)
Conditions	54	Weak	Revenue growth: 14.1% (+7 pts); Sector risk: 4 (-4 pts); Sector: Infrastructure / EPC — outlook STABLE

10. Risk Rating & Explainability

Driver	Value	Score impact	Five C
Fraud risk score	4	+19	Character
Debt service coverage	1.37x	+10	Capacity
Promoter sentiment	+0.18	+10	Character
Cheque/ECS bounces	0	+8	Character
Interest coverage	2.52x	+7	Capacity
Revenue growth	14.1%	+7	Conditions
Collateral coverage	0.80x	-7	Collateral
Receivable days	161 days	-6	Capacity
Litigation intensity	9	+6	Character
Business vintage	20 yrs	+5	Character
Current ratio	1.26x	+4	Capacity
GST mismatch	1.9%	+4	Character
Overlay: Delayed stock statements submission for two quarters; remind	analyst note	-8	Character
Overlay: Overdue / delayed payments	red flag	-10	Capacity
Overlay: Contingent liabilities disclosed	red flag	-3	Capital

Policy rule	Threshold	Actual	Status
KO-01 Wilful defaulter / RBI defaulter list	Not on list	none	PASS
KO-02 Existing NPA / SMA-2 classification	Standard asset	none	PASS
KO-03 Admitted insolvency proceedings	No CIRP admitted	none admitted	PASS
KO-04 Fraud risk score	< 75	4.0	PASS
KO-05 Debt service coverage	>= 0.90x	1.37	PASS
DV-01 Minimum DSCR	>= 1.25x	1.37	PASS
DV-02 Maximum Debt / EBITDA	<= 4.0x	3.8	PASS
DV-03 Maximum Debt / Equity	<= 3.0x	1.17	PASS

Policy rule	Threshold	Actual	Status
DV-04 Minimum current ratio	$\geq 1.10x$	1.26	PASS
DV-05 GST turnover reconciliation	$\leq 10\%$ variance	1.88	PASS
DV-06 Promoter pledge	$\leq 50\%$	18.0	PASS
DV-07 Collateral coverage	$\geq 1.0x$	0.8	FAIL
DV-08 Litigation intensity	≤ 60	8.9	PASS
DV-09 Cheque/ECS bounces (6m)	≤ 2	0.0	PASS
DV-10 Going-concern / audit qualification	Clean opinion	none	PASS

Model score 730 = base 657 pts + feature points (exact TreeSHAP attribution, PDO-scaled); overlays -21 pts give final score 709. Model xgb-20261004-131921 (AUC 0.8764).

11. Analyst Observations

2 qualitative observation(s) recorded by the underwriting team.

- Operations: Order book of ₹430 crore with state highway authority gives visibility; collections delayed but no write-offs.
- Financial: Delayed stock statements submission for two quarters; reminded borrower. (score impact -8 pts)

12. Loan Sizing & Risk-Based Pricing

Method	Eligible amount	Basis
Requested amount	₹20.00 Cr	Applicant request
Turnover method (Nayak Committee)	₹27.60 Cr	20% of projected annual turnover (25% WC need less 5% promoter margin)
Leverage ceiling	₹42.08 Cr	4.25x Debt/EBITDA for grade; existing WC lines assumed refinanced
Security cover ☐	₹12.80 Cr	Collateral value / 1.25x minimum security cover

Pricing component	bps	Rationale
Benchmark (EBLR/MCLR)	+925	Bank's external benchmark lending rate (RBI repo 5.50%)
Credit risk premium (CX4)	+200	Grade-linked spread
Unsecured exposure premium	+50	Security cover 0.80x
Policy deviation premium	+25	1 policy deviation(s) approved at sanction
All-in rate	12.0%	Spread 2.75% over benchmark

Recommended ₹12.80 Cr; binding constraint: Security cover.

13. Recommendation & Conditions

Recommendation: Approve with conditions — ₹12.80 Cr at 12.0% p.a. for 12 months.

Basis of recommendation

- Deviation DV-07: Collateral coverage (actual 0.8, required $\geq 1.0x$)

Terms & conditions

- Additional collateral or personal guarantees of promoters to reach 1.25x cover
- Standard: CERSAI registration of security, insurance with bank clause, annual review

Key risks

- Collateral coverage 0.80x (-7 pts)
- Receivable days 161 days (-6 pts)
- Sector risk 4 (-4 pts)
- Debt / EBITDA 3.80x (-1 pts)
- Overdue / delayed payments (-10 pts)
- Delayed stock statements submission for two quarters; reminded borrower. (-8 pts)
- Contingent liabilities disclosed (-3 pts)

Mitigants / strengths

- Fraud risk score 4 (+19 pts)
- Debt service coverage 1.37x (+10 pts)

- Promoter sentiment +0.18 (+10 pts)
- Cheque/ECS bounces 0 (+8 pts)
- Interest coverage 2.52x (+7 pts)

Annexure — Documents Reviewed

Document	Type	Extraction confidence
annual_report_FY25.pdf	Financial Statement	91%
gst_returns_FY25.pdf	Gst Return	98%
bank_statement_Oct24-Mar25.pdf	Bank Statement	98%
mca_mgt7_extract.pdf	Mca Filing	98%
shareholding_pattern.pdf	Shareholding Pattern	98%
existing_sanction_letter.pdf	Sanction Letter	98%
legal_notice_1.pdf	Legal Notice	94%

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Prepared by (Credit Analyst)	Reviewed by (Credit Manager)	Sanctioning Authority
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